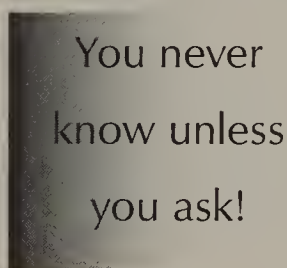


of you, but if that is not possible – you are squashed flat broke – they would rather that they are paid something up front from you, instead of giving it to collection for pennies. So call them up and negotiate.

That's Right

The secret is out! That's right, you can negotiate with the credit card companies. Keep in mind that department store cards usually will not, but the large card issuers will, and no one knows it! That is another reason to not get a department store card – you don't need it. It really won't save you anything in the long run.



Look at your statements and determine the debt that you have incurred. The actual debt, your purchases, the amounts you personally charged. Now take a look at all the fees, interest rates, and penalties that have accumulated. Sickening, yes, I understand. We have seen how fast interest grows. This total could be three or four times the original amount of debt that you started off with!

You can negotiate a better payment arrangement: pay just the balance that was charged, without all the other garbage. And while you are paying it off, make sure that you will not be charged with fees or interest. This deal gives you the ability to make your payment over time with a payment that you can now afford.

Go Straight to the Top

Talk to a manager. The first customer service person that you speak with on the phone will have to get a supervisor anyway, so ask for one up front. Explain that you are trying to avoid bankruptcy, in which case they would not get a dime. That will get their attention. Usually, they understand that something is better than nothing.

You are offering them money up front, and a chance for both of you to avoid the collection route. A bird in the hand is worth more than not knowing if you will ever catch the bird. Well, you know what I mean.